FIRST-PASS DILIGENCE MEMO

# Northfold

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|---|---|
| **Company** | Northfold (full legal name not disclosed) (p. 3) |
| **Ticker / Status** | Private, owned by its founders (p. 3) |
| **Source document** | Sale-process marketing document for a sale of 100% of the Company, with indications of interest due April 30, 2026 (p. 10) |
| **Fiscal period covered** | Fiscal year ended December 31, 2025 (pp. 4, 5) |
| **Memo generated** | 2026-11-05 |
| **Pages processed** | 10 of 10 PDF pages |

*First-pass, machine-generated from a single source document. Not an investment recommendation. Every figure must be verified against the cited page before use.*

## 1. Executive Summary

- **Business in one sentence:** Northfold designs and manufactures compact electronic warfare (EW) and signals intelligence (SIGINT) sensors for the U.S. Army, U.S. Special Operations Command and allied customers (p. 3).
- **Scale:** FY2025 revenue was $201.4 million (p. 7).
  - FY2025 operating income was $30.9 million (p. 7).
  - FY2025 Adjusted EBITDA was $39.8 million, a calculated 19.8% margin (calc.; p. 7).
- **Key positives:**

1. Revenue grew a calculated 18.4% in FY2024 and 19.2% in FY2025, while operating margin expanded from 12.6% to 15.3% between FY2023 and FY2025 (calc.; p. 7).
2. Total backlog of $295.0 million covers 1.46x FY2025 revenue (calc.; pp. 5, 7).
3. Net leverage is a modest 0.92x FY2025 Adjusted EBITDA, and the $25.0 million revolver is undrawn (calc.; pp. 7, 8).

- **Key concerns:**

1. The largest program, the Army's Tactical Spectrum Sensor, faces a recompete expected in FY2028, and management projections assume it is won (pp. 5, 9).
2. $2.5 million of FY2025 add-backs are pro forma cost savings from a facility consolidation that had not occurred as of December 31, 2025 (p. 7).
   - *(uncited statement removed; see citation_log.md)*
     - The narrative cites backlog of $310.0 million, but the backlog table shows $295.0 million (pp. 3, 5).
     - The narrative cites a 20.1% Adjusted EBITDA margin, but the calculated margin is 19.8% (calc.; pp. 3, 7).

- **Biggest open question:** What share of revenue and backlog does the Tactical Spectrum Sensor program represent, and what does the plan look like if the FY2028 recompete is lost (pp. 5, 9)?

## 2. Business Overview

- **Segments:**
  - Tactical EW Sensors were 61% of FY2025 revenue (p. 4).
  - Strategic SIGINT Receivers were 39% of FY2025 revenue (p. 4).
  - Segment-level margins: Not disclosed.

- **Business model:**
  - Contract mix in FY2025 was 65% firm-fixed-price, 28% cost-plus and 7% time-and-materials (p. 5).
  - FY2025 growth was driven by higher production volumes on the Tactical Spectrum Sensor program (p. 7).
  - Split of recurring/production revenue vs. development/project revenue: Not disclosed.
- **Programs of record:** The Company holds sole-source positions on two Army programs of record (p. 3).
- **Geographic footprint:**
  - Headquartered in Huntsville, Alabama (p. 3).
  - Manufactures in a single 120,000 square foot leased facility in Huntsville (p. 4).
  - Revenue split by geography (U.S. vs. allied/international): Not disclosed.
- **Headcount:** 410 employees, of whom 254 (62%) hold active security clearances (pp. 3, 4).
- **Ownership / history:**
  - Founded in 2009 and privately owned by its founders (p. 3).
  - Shareholders are exploring a sale of 100% of the Company, and no asking price is stated (p. 10).
  - M&A history: Not disclosed. Growth is presented without reference to acquisitions, but organic growth cannot be confirmed.

## 3. Market & Competitive Position

- **Market size (management estimate):**
  - The addressable market for tactical EW and SIGINT sensors is $4.2 billion in 2025 (p. 6).
  - The market is estimated to grow 7% per year (p. 6).
  - Northfold's historical and projected growth both exceed this stated market growth rate, which implies share gains that need support (calc.; pp. 6, 7, 9).
- **Named competitors:** None are named. The document cites larger defense primes and several venture-backed entrants (p. 6).
  - Large primes are both competitors and a likely source of Northfold's subcontract revenue, which is 42% of revenue (pp. 5, 6).
- **Competitive advantages (management's view):**
  - Positions on two Army programs of record, described as mission-critical and sole-source (p. 3).
  - A largely cleared workforce (p. 3).
- **Regulatory or policy exposure:** Not disclosed. The findings do not address export controls/ITAR, CMMC or budget sensitivity, although allied customers are served and are part of the plan (pp. 3, 9).

## 4. Customers, Contracts & Backlog

- **Customer concentration (FY2025):**
  - The U.S. Army was 41% of revenue (p. 5).
  - The top five customers were 78% of revenue (p. 5).
  - Top-10 concentration and prior-year concentration: Not disclosed.
- **Government exposure:**
  - Northfold is prime contractor on 58% of revenue and subcontractor on 42% (p. 5).
  - Total U.S. government share, DoD vs. civil split, and allied/foreign military share: Not disclosed.
- **Contract type mix (FY2025):** 65% firm-fixed-price, 28% cost-plus and 7% T&M (p. 5).
  - The FFP-heavy mix exposes margins to cost overruns. (p. 5)
- **Backlog at December 31, 2025:**

  - Funded backlog was $176.0 million, unfunded $119.0 million and total $295.0 million (p. 5).
  - Prior-year (December 31, 2024) comparison: funded $148.0 million, unfunded $96.0 million, total $244.0 million (p. 5).
- **Backlog coverage:**
  - Funded backlog covered 0.87x FY2025 revenue vs. 0.88x in FY2024, roughly flat (calc.; pp. 5, 7).
  - Total backlog covered 1.46x FY2025 revenue vs. 1.44x in FY2024 (calc.; pp. 5, 7).
- **Backlog discrepancy:** The narrative cites backlog of $310.0 million at December 31, 2025, above the $295.0 million in the backlog table (pp. 3, 5).
- **Book-to-bill:** Not disclosed.
- **Key contracts / recompetes:**
  - The Tactical Spectrum Sensor is the largest program and faces a recompete expected in FY2028 (p. 5).
  - Its revenue and backlog share: Not disclosed.
  - Management projections assume the recompete is won (p. 9).
- **Protests and contract expirations other than the Tactical Spectrum Sensor:** Not disclosed.

## 5. Financial Summary

### Financial summary

| Metric ($ in millions) | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| **Revenue** | 142.6 (p. 7) † | 168.9 (p. 7) † | 201.4 (p. 7) ✓ |
| *Revenue growth % (calc.)* | *n/a* | *18.4% (calc.; p. 7)* | *19.2% (calc.; p. 7)* |
| **Gross profit** | 44.2 (p. 7) † | 53.2 (p. 7) † | 64.5 (p. 7) † |
| *Gross margin % (calc.)* | *31.0% (calc.; p. 7)* | *31.5% (calc.; p. 7)* | *32.0% (calc.; p. 7)* |
| **Operating income (loss)** | 17.9 (p. 7) † | 23.8 (p. 7) † | 30.9 (p. 7) † |
| **EBITDA (as reported by company)** | Not disclosed | Not disclosed | Not disclosed |
| **Adjusted EBITDA (as reported by company)** | 24.1 (p. 7) † | 31.5 (p. 7) † | 39.8 (p. 7) ✓ |
| **D&A** | 3.6 (p. 7) † | 4.1 (p. 7) † | 4.7 (p. 7) † |
| **Capex** | 4.2 (p. 8) † | 5.0 (p. 8) † | 6.1 (p. 8) † |
| *Capex % of revenue (calc.)* | *2.9% (calc.; pp. 7, 8)* | *3.0% (calc.; pp. 7, 8)* | *3.0% (calc.; pp. 7, 8)* |
| **Backlog (total)** | Not disclosed | 244.0 (p. 5) † | 295.0 (p. 5) † |
| **Largest customer % of revenue** | Not disclosed | Not disclosed | 41.0% (p. 5) † |

### Cash conversion & earnings quality

| Metric ($ in millions) | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| **Operating cash flow** | 14.9 (p. 8) † | 19.6 (p. 8) † | 24.3 (p. 8) † |
| *Free cash flow (OCF - capex) (calc.)* | *10.7 (calc.; p. 8)* | *14.6 (calc.; p. 8)* | *18.2 (calc.; p. 8)* |
| *FCF / Adj. EBITDA (calc.)* | *44.4% (calc.; pp. 7, 8)* | *46.3% (calc.; pp. 7, 8)* | *45.7% (calc.; pp. 7, 8)* |
| *GAAP EBITDA (op. income + D&A) (calc.)* | *21.5 (calc.; p. 7)* | *27.9 (calc.; p. 7)* | *35.6 (calc.; p. 7)* |
| *Add-backs to reach Adj. EBITDA (calc.)* | *2.6 (calc.; p. 7)* | *3.6 (calc.; p. 7)* | *4.2 (calc.; p. 7)* |
| *DSO incl. unbilled, days (calc.)* | *n/a* | *78 (calc.; pp. 7, 8)* | *79 (calc.; pp. 7, 8)* |
| *DIO, days (calc.)* | *n/a* | *-27 (calc.; pp. 7, 8)* | *-26 (calc.; pp. 7, 8)* |

## Balance sheet & liquidity (fiscal year end)

| Metric ($ in millions) | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| **Total debt (principal)** | Not disclosed | 52.0 (p. 8) † | 45.0 (p. 8) † |
| *Cash + short-term investments (calc.)* | *n/a* | *6.1 (calc.; p. 8)* | *8.4 (calc.; p. 8)* |
| *Net debt (calc.)* | *n/a* | *45.9 (calc.; p. 8)* | *36.6 (calc.; p. 8)* |
| *Total debt / Adj. EBITDA (calc.)* | *n/a* | *1.65x (calc.; pp. 7, 8)* | *1.13x (calc.; pp. 7, 8)* |
| *Net debt / Adj. EBITDA (calc.)* | *n/a* | *1.46x (calc.; pp. 7, 8)* | *0.92x (calc.; pp. 7, 8)* |
| *Liquidity incl. undrawn revolver (calc.)* | *n/a* | *n/a* | *33.4 (calc.; p. 8)* |

## Operating metrics

| Metric ($ in millions, ratios as noted) | FY2023 | FY2024 | FY2025 |
|---|---|---|---|
| *Funded backlog / revenue (calc.)* | *n/a* | *0.88x (calc.; pp. 5, 7)* | *0.87x (calc.; pp. 5, 7)* |
| *Total backlog / revenue (calc.)* | *n/a* | *1.44x (calc.; pp. 5, 7)* | *1.46x (calc.; pp. 5, 7)* |
| *Revenue per employee, $M (calc.)* | *n/a* | *n/a* | *$0.49 (calc.; pp. 4, 7)* |

## Table notes

- Cross-check: 2 of 43 sourced inputs match the same figure for the same year on at least one other page (✓). † = found on one page only; verify manually.
- Every (calc.) figure is computed by code from the cited inputs; formulas are listed in calcs.json.
- Method: Add-backs = company Adjusted EBITDA minus GAAP EBITDA (operating income + D&A). If the company's measure is segment-level, add-backs also include costs outside segment results (e.g. unallocated corporate).
- Method: No short-term investments found for FY2024; net debt uses cash only.
- Method: No short-term investments found for FY2025; net debt uses cash only.
- Method: Total debt is principal as disclosed (excludes leases; convertible notes at principal).
- Method: Working-capital days use fiscal-year-end balances, not averages; balances acquired mid-year inflate days relative to a full-year average.
- ⚠ Employees FY2025: F01-012 is dated 'n/a', not FY2025.
- Adjusted EBITDA is as presented by the Company; no definition or reconciliation is provided in the findings, and no reported (unadjusted) EBITDA is disclosed. (p. 7)
- Total debt consists solely of the term loan ($52.0 million at December 31, 2024; $45.0 million at December 31, 2025), which will be repaid at the closing of a transaction. (p. 8)
- The $25.0 million revolving credit facility was undrawn at December 31, 2025. (p. 8)
- Contract mix is disclosed only as percentages of fiscal 2025 revenue: firm-fixed-price 65%, cost-plus 28%, time-and-materials 7%; dollar amounts by contract type are not disclosed. (p. 5)
- Largest customer is the U.S. Army at 41% of fiscal 2025 revenue; top five customers were 78%. (p. 5)
- Segments (Tactical EW Sensors 61%, Strategic SIGINT Receivers 39% of fiscal 2025 revenue) are disclosed only as revenue shares, with no segment dollar revenue or profit. (p. 4)
- Employee count of 410 is stated without a specific date and is shown in the FY2025 column. (p. 4)

## Commentary

- **Growth:** Revenue grew from $142.6 million in FY2023 to $201.4 million in FY2025, with calculated growth of 18.4% in FY2024 and 19.2% in FY2025 (calc.; p. 7).
  - Organic growth cannot be separately confirmed because acquisition history is not disclosed. (calc.; p. 7)
- **Margins:**
  - Gross margin expanded each year, from 31.0% in FY2023 to 32.0% in FY2025 (calc.; p. 7).
  - SG&A grew more slowly than revenue, driving operating margin from 12.6% to 15.3% (calc.; p. 7).

- **Cash conversion:** FCF / Adjusted EBITDA was steady but below half in every year: 44.4% in FY2023, 46.3% in FY2024 and 45.7% in FY2025 (calc.; pp. 7, 8).
  - FY2025 free cash flow was $18.2 million against Adjusted EBITDA of $39.8 million (calc.; pp. 7, 8).
- **Capex:** Capex was 3.0% of revenue in FY2025 (calc.; pp. 7, 8).
  - Capex of $6.1 million exceeded D&A of $4.7 million (pp. 7, 8).
  - Projected capex roughly doubles to $12.3 million by FY2030 (p. 9).
- **Deleveraging:** The term loan declined from $52.0 million to $45.0 million during FY2025 (p. 8).
  - Net leverage fell from 1.46x to 0.92x (calc.; pp. 7, 8).

## 6. Quality of Earnings Flags

- *(uncited statement removed; see citation_log.md)*
  - Management add-backs were $2.6 million in FY2023, $3.6 million in FY2024 and $4.2 million in FY2025, rising each year (p. 7).
  - These amounts reconcile to the calculated gap between GAAP EBITDA and Adjusted EBITDA (calc.; p. 7).
- **FY2025 add-back components:**
  - **Pro forma cost savings: $2.5 million** from a planned facility consolidation that had not occurred as of December 31, 2025 (p. 7). This is the largest and least supportable add-back, because the savings are unrealized. Calculated GAAP EBITDA was $35.6 million (calc.; p. 7).
  - **Founder compensation normalization: $1.1 million** (p. 7). This needs confirmation of the post-close roles and market-rate pay of the founders.
  - **One-time legal expense: $0.6 million** (p. 7). The nature of the matter and the risk of recurrence are not disclosed.
- **Facility consolidation conflict:** The consolidation behind the savings add-back would affect the single 120,000 square foot leased manufacturing facility (pp. 4, 7).
  - One-time costs, lease exit costs and timing of the consolidation: Not disclosed. (pp. 4, 7)
- **Margin tie-out:** The narrative states an Adjusted EBITDA margin of 20.1%, but the reported figures yield a calculated 19.8% (calc.; pp. 3, 7).
- **Revenue recognition:** Not disclosed. Over-time vs. point-in-time policy, EAC methodology and cumulative catch-up adjustments are not covered, which matters given the 65% FFP mix (p. 5).
- **Working capital (December 31, 2024 to December 31, 2025):**
  - Accounts receivable rose from $26.0 million to $31.2 million (p. 8).
  - Unbilled receivables rose from $10.1 million to $12.5 million (p. 8).
  - Inventories rose from $8.7 million to $9.8 million (p. 8).
  - DSO including unbilled was stable at a calculated 78 days in FY2024 and 79 days in FY2025 (calc.; pp. 7, 8).
- **Taxes:** The Company is an S corporation, and cash taxes reflect state taxes only ($1.2 million in FY2025) (p. 8).
  - Historical cash flow therefore excludes entity-level federal tax. (p. 8)
- **Auditor and audit opinion:** Not disclosed.
- **Material weaknesses:** Not disclosed.

## 7. LBO Inputs

| Input | Value | Cite |
|---|---|---|
| Base-year revenue | $201.4 million (FY2025) | (p. 7) |
| Base-year EBITDA (reported / adjusted) | GAAP EBITDA (calc.) $35.6 million / Adjusted EBITDA $39.8 million (FY2025) | (calc.; p. 7) |

| Input | Value | Cite |
|---|---|---|
| Adjusted EBITDA add-backs | $4.2 million total, including $2.5 million of unrealized pro forma cost savings | (p. 7) |
| D&A | $4.7 million (FY2025) | (p. 7) |
| Capex (maintenance vs. growth, if split) | $6.1 million (FY2025); maintenance/growth split not disclosed | (p. 8) |
| Net working capital (or change in NWC) | Dec 31, 2025: AR $31.2 million, unbilled $12.5 million, inventory $9.8 million, AP $11.3 million, accrued liabilities $7.6 million, customer advances $3.1 million; change in NWC not disclosed | (p. 8) |
| Cash tax rate / effective tax rate | Not disclosed; S corporation, with FY2025 cash taxes of $1.2 million (state only) | (p. 8) |
| Existing debt (by tranche) | Term loan $45.0 million, to be repaid at closing; $25.0 million revolver, undrawn | (p. 8) |
| Cash | $8.4 million (Dec 31, 2025) | (p. 8) |
| Management projections – revenue | FY2026E $238.0 million; FY2027E $279.5 million; FY2028E $322.0 million; FY2029E $366.0 million; FY2030E $409.0 million | (p. 9) |
| Management projections – Adjusted EBITDA | FY2026E $50.0 million; FY2027E $61.5 million; FY2028E $73.2 million; FY2029E $85.1 million; FY2030E $96.3 million (23.5% margin) | (p. 9) |
| Management projections – capex | FY2026E $7.1 million; FY2027E $8.4 million; FY2028E $9.6 million; FY2029E $11.0 million; FY2030E $12.3 million | (p. 9) |
| Key projection assumptions | Tactical Spectrum Sensor recompete won in FY2028; continued production ramp; two new allied customers from FY2027 | (p. 9) |

## 8. Key Risks

1. **Recompete of the largest program (FY2028).**
   - Losing the Tactical Spectrum Sensor recompete would hit the program that drove FY2025 growth (pp. 5, 7).
   - The plan assumes the win, so it falls inside a typical hold period (p. 9).
2. **Customer concentration.**
   - The U.S. Army is 41% of revenue and the top five customers are 78% (p. 5).
3. **Adjusted EBITDA quality.**
   - $2.5 million of FY2025 Adjusted EBITDA rests on cost savings from a facility consolidation that has not happened (p. 7).
   - The headline margin is overstated relative to reported figures (calc.; pp. 3, 7).
4. **Projection risk.**
   - The plan more than doubles Adjusted EBITDA to $96.3 million by FY2030 (p. 9).
   - It relies on new allied customers and margin expansion to 23.5% (p. 9).
   - The plan sits against a stated 7% market growth rate (p. 6).
5. **Fixed-price execution.**
   - 65% of revenue is firm-fixed-price, so cost overruns on production programs fall directly to margin (p. 5).
6. **Dependence on primes who are also competitors.**
   - Northfold is subcontractor on 42% of revenue (p. 5).
   - Its principal competitors include larger defense primes (p. 6).
7. **Single-site and key-person exposure.**
   - All manufacturing is in one leased Huntsville facility (p. 4).

- The business is founder-owned, with founder compensation normalized in Adjusted EBITDA (pp. 3, 7).

**8. Cleared workforce.**

- 62% of employees hold active clearances (p. 3).

## 9. Consistency Check

| Narrative claim | Cite | What the numbers show | Cite | Flag |
|---|---|---|---|---|
| Management cites backlog of $310.0 million at December 31, 2025 and says it provides multi-year revenue visibility. | (p. 3) | The backlog table shows total backlog of $295.0 million at December 31, 2025: $176.0 million funded plus $119.0 million unfunded. | (p. 5) | **Inconsistent.** The headline backlog is overstated against the company's own backlog disclosure. No reconciling item, such as options or IDIQ ceiling value, is identified to bridge $295.0 million to $310.0 million. Backlog is a core valuation input for a defense contractor. |
| Adjusted EBITDA margin is described as having expanded to 20.1% in fiscal 2025. | (p. 3) | Adjusted EBITDA of $39.8 million on revenue of $201.4 million gives a calculated margin of 19.8%, up from 18.7% in FY2024. | (calc.; pp. 3, 7) | **Inconsistent.** The direction (expansion) is supported. However, the stated 20.1% cannot be reproduced from the reported Adjusted EBITDA and revenue, and the gap is not a rounding difference. Either the margin or one of its inputs is misstated. |
| FY2025 Adjusted EBITDA is presented as an actual figure. Its add-backs include founder compensation normalization ($1.1 million), 'one-time' legal expense ($0.6 million) and $2.5 million of pro forma cost savings from a facility consolidation that had not occurred as of December 31, 2025. | (p. 7) | Add-backs have risen every year: $2.6 million in FY2023, $3.6 million in FY2024 and $4.2 million in FY2025. The FY2025 total supports the $39.8 million Adjusted EBITDA. | (calc.; p. 7) | **Needs explanation.** Most of the FY2025 add-back ($2.5 million of the $4.2 million) is unrealized, forward-looking savings from an event that has not happened. Adjustments have also grown each year. This weakens the 'actual' Adjusted EBITDA base and the reported margin expansion. |
| Positions on two Army programs of record are characterized as mission-critical and sole-source. | (pp. 3, 5, 9) | The company holds two sole-source programs. The largest program faces a recompete expected in fiscal 2028. The U.S. Army is 41% of revenue and the top five customers are 78%. | (pp. 3, 5) | **Needs explanation.** The 'sole-source' framing understates the disclosed recompete on the largest program. Combined with high customer concentration, that recompete is a binary risk to the projections. Management assumes a win rather than presenting a downside case. |
| FY2025 add-backs include $2.5 million of pro forma cost savings from a planned facility consolidation, yet the business description says manufacturing takes place in a single 120,000 square foot leased facility in Huntsville. | (pp. 4, 7) | Total FY2025 add-backs are $4.2 million, so the $2.5 million consolidation saving is the largest single component. Projected FY2026 capex is $7.1 million, against $6.1 million in FY2025, and no consolidation cost or one-time cash outlay is identified anywhere in the projections. | (calc.; pp. 7, 8, 9) | **Needs explanation.** The document describes only one manufacturing facility, so it is unclear what is being consolidated or where $2.5 million of savings would come from. The cost to achieve those savings, such as lease exit, relocation or capex, is also not shown. Management should identify the facilities involved, the cost to achieve, and whether the savings are already embedded in the FY2026 projections, which would mean they are counted twice. |

| Narrative claim | Cite | What the numbers show | Cite | Flag |
|---|---|---|---|---|
| Adjusted EBITDA margin will expand to 23.5% by fiscal 2030 from operating leverage. | (pp. 7, 9) | There is real historical operating leverage. Operating margin rose from 12.6% to 14.1% to 15.3% over FY2023-FY2025, and SG&A grew from $29.4 million to $33.6 million while revenue grew 19.2%. However, the calculated FY2025 Adj. EBITDA margin is 19.8%, and that base includes $2.5 million of unrealized cost savings. The FY2030 target is $96.3 million of Adj. EBITDA on $409.0 million of revenue. | (calc.; pp. 7, 9) | **Needs explanation.** The operating-leverage direction is supported. But the margin path to 23.5% starts from a 19.8% base that is itself inflated by pro forma savings that had not occurred. Part of the claimed expansion may therefore come from add-backs rather than leverage. Diligence should rebuild the bridge from GAAP EBITDA. |
| The addressable market is growing at 7% per year. Projections rest on a continued Tactical Spectrum Sensor ramp, two new allied customers starting in fiscal 2027, and winning the Tactical Spectrum Sensor recompete in FY2028. | (pp. 6, 9) | Revenue is projected to rise from $201.4 million in FY2025 to $238.0 million in FY2026 and $409.0 million in FY2030. Historical growth was 18.4% in FY2024 and 19.2% in FY2025, well above the 7% market growth. | (calc.; pp. 7, 9) | **Needs explanation.** Sustaining growth far above market growth through FY2030 implies continuous share gains. Those gains depend on unbooked new customers and a binary recompete outcome. The plan should be split into market growth, the existing program ramp, and new-win contributions, with a downside case that excludes the new wins. |
| The company is an S corporation, and the $25.0 million revolver was undrawn at December 31, 2025, which implies a clean cash position. | (p. 8) | FY2025 free cash flow was $18.2 million. The term loan fell from $52.0 million to $45.0 million, and cash rose only from $6.1 million to $8.4 million. A material portion of free cash flow is not accounted for by debt paydown or the cash build. | (calc.; p. 8) | **Needs explanation.** The cash not explained by debt paydown or the cash build likely went to S-corporation shareholder distributions, or to other financing uses that are not disclosed. Distributions affect how normalized cash generation should be read and how much cash will be left at closing. A financing cash flow schedule should be requested. |
| Revenue grew 19.2% in fiscal 2025. | (p. 7) | Calculated revenue growth is 19.2%, from $168.9 million to $201.4 million. | (calc.; p. 7) | **Consistent.** The stated growth rate ties to the income statement. The attribution to Tactical Spectrum Sensor volumes cannot be verified because no program-level revenue is provided. |
| Gross margin was 32.0% in fiscal 2025. | (p. 7) | Gross profit of $64.5 million on revenue of $201.4 million gives a calculated gross margin of 32.0%. | (calc.; p. 7) | **Consistent.** The stated gross margin ties to the reported figures. |
| Firm-fixed-price, cost-plus and time-and-materials contracts represented 65%, 28% and 7% of fiscal 2025 revenue. | (p. 5) | The customer section shows the same contract mix of 65% firm-fixed-price, 28% cost-plus and 7% time-and-materials. | (p. 5) | **Consistent.** The contract mix agrees between the narrative and the customer data. Note that the high firm-fixed-price share puts cost-overrun risk on Northfold, which matters for the margin-expansion assumptions. |
| The $25.0 million revolving credit facility was undrawn at December 31, 2025. | (p. 8) | The balance sheet confirms a $25.0 million undrawn revolver. Total liquidity including cash is $33.4 million. Net leverage is 0.92x, and the $45.0 million term loan is repaid at closing. | (calc.; pp. 7, 8) | **Consistent.** The liquidity and debt statements agree with the balance sheet, and leverage is modest. |

## 10. Questions for Management

### Financial

1. Provide a full Adjusted EBITDA reconciliation and definition for FY2023–FY2025, including the components of the $2.6 million and $3.6 million add-backs in the earlier years (p. 7).
2. For the $2.5 million of pro forma facility consolidation savings, address the following (p. 7):
   - What is the timeline for the consolidation? (p. 7)
   - What are the one-time costs and lease implications? (p. 7)
   - What evidence supports the savings? (p. 7)
3. Reconcile the stated 20.1% FY2025 Adjusted EBITDA margin to the reported $39.8 million Adjusted EBITDA on $201.4 million of revenue (pp. 3, 7).
4. What is the nature of the $0.6 million legal expense, and is any related matter ongoing (p. 7)?
5. What roles will the founders hold post-close, and what is the basis for the $1.1 million compensation normalization (p. 7)?
6. Why does FCF conversion stay below half of Adjusted EBITDA each year, and what drives the gap between OCF and EBITDA (calc.; pp. 7, 8)?
7. What is the change in net working capital by year, and what explains the growth in unbilled receivables (p. 8)?
8. Split historical and projected capex into maintenance and growth, and explain the step-up to $12.3 million by FY2030 (p. 9).
9. What would the tax position be under a buyer structure, given current S corporation status (p. 8)?
10. Who is the auditor? Are the financials audited, and have any material weaknesses or control deficiencies been identified?
11. What are the revenue recognition policies (over-time vs. point-in-time) and the EAC process? What cumulative catch-up adjustments were recorded in FY2023–FY2025?
12. Has the Company made any acquisitions historically? Confirm that reported growth is fully organic.

### Customers & Contracts

13. What share of revenue and backlog does the Tactical Spectrum Sensor represent? Provide the recompete timeline, expected competitors and a downside plan if the recompete is lost (pp. 5, 9).
14. Reconcile the $310.0 million backlog in the narrative with the $295.0 million in the backlog table (pp. 3, 5).
15. What were book-to-bill and new awards by year? What is the expected conversion of unfunded backlog (p. 5)?
16. Provide top-10 customer concentration for FY2023–FY2025 and identify the top five customers (p. 5).
17. Provide the revenue split across U.S. Army, SOCOM, other U.S. government and allied customers, and the DoD vs. civil split (p. 3).
18. On which programs is Northfold a subcontractor? Do any primes on those programs also compete with Northfold (pp. 5, 6)?
19. Which customers are the two new allied customers assumed from FY2027, and what is their pipeline status (p. 9)?
20. Which other material contracts have expirations or protests in the projection period?

### Operations

21. What is the FFP program margin history, including any loss-making contracts or reach-forward losses (p. 5)?
22. What are the facility lease terms and capacity utilization? Can the single Huntsville site support the projected revenue (pp. 4, 9)?
23. Provide segment-level revenue and margin history for Tactical EW Sensors and Strategic SIGINT Receivers (p. 4).

**24.** What are cleared-employee attrition and retention arrangements, and which key personnel are critical to programs (p. 3)?

### Other

**25.** What is the regulatory exposure? Specifically, address ITAR/export control compliance for allied sales, CMMC readiness and sensitivity to the defense budget.

**26.** Provide the basis for the $4.2 billion addressable market estimate and the 7% growth rate (p. 6).

## APPENDIX: COVERAGE NOTES

- Citations use printed page numbers (PDF page = printed page + 0).
- No reliable printed number on PDF pages [1]; those are cited as 'PDF n'.
- MD&A no MD&A heading found; narrative pass covers the whole document.
- 10 of 10 PDF pages had extractable text and were analyzed.
- 133 findings verified against the source; 1 rejected (quote or number not found on the cited page). See rejected.json.
- 9 memo lines deleted by the citation check (no valid citation or unsupported number). See citation_log.md.